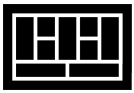
PRODUCT MARKET FIT



THE BUSINESS
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SUPER GUIDE:
PRODUCT MARKET FIT

BY DANIEL PEREIRA



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INTRODUCTION

When your product and market are perfectly matched, you have achieved product-market fit. This should be the aim of every business, since it has several perks, including the recognition of the value of your product by your current customers; new customers experiencing the same level of value; a reduction in churn; and customers becoming your promoters (word-of-mouth).

While there might be a certain misconception that product-market fit results in selling out your stock as soon as you get new inventory, it essentially means that most of your customers come from referrals, you have a steady inflow of customers, and that your product efficiently solves an important problem in a profitable market. This can eventually lead to your product selling out fast after restocking.

Because of the perks that achieving product-market fit has, it is important that you understand what product-market fit is, the basics for making your product the right fit for your target market, as well as how to measure the success of your product with regard to its product-market fit goals.

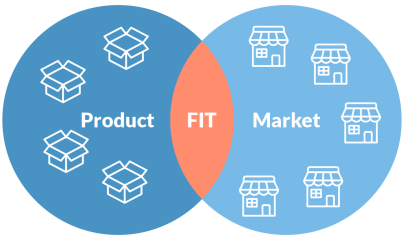
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WHAT IS PRODUCT-MARKET FIT?

Product market fit means your product addresses the problems of your target market. A product-market fit scenario means your product solves the problems of a large group of customers, and they are buying it, using it, and also recommending it to others.

While product-market fit can be achieved in a small market, its size doesn't leave room for growth and profitability, so an optimum setting for product-market fit is one that has a large market that has a problem your product solves, and the size of the market makes the niche lucrative and also makes room for your product's future profitability and scaling.

Even though a product that doesn't fit its market perfectly can still be profitable, a product that does can be much more profitable and can succeed much more quickly than the former.



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THE ORIGINS OF PRODUCT-MARKET FIT

The term "product-market fit" was first articulated by Andy Rachleff of Betterment. Nevertheless, in recent years, it has come to be almost universally associated with Marc Andreessen of Netscape, Opsware, and Andreessen Horowitz. Andreessen explains why he believes the quality of the market that a company is targeting is the single most critical element in deciding how successful that business will be in his article titled "The Only Thing that Matters."

According to him, achieving the ideal product-market fit means participating in the appropriate market while using the appropriate offering. He proceeds to explain that a successful market is one that contains a sizable number of genuine people who are considering making a purchase; in other words, a market that is successful at pulling products from the business/startup.

According to him, you will be able to identify whether the product's market fit is amiss. Customers are not gaining value from the product, word-of-mouth is not spreading, usage is not fast-growing, press reviews are mediocre, the sales cycle is too lengthy, and many transactions do not come to a successful conclusion. The right product for the right market is typically quite evident. Customers will buy the products or subscribe to the service as soon as you can produce them or add more servers. Your business's bank account is brimming over with payments made by customers. You are moving aggressively to hire people for support and sales positions. Reporters are interested in speaking with you about your most recent creation...

This occurs when the company in question has a product that

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fulfills the requirements of a significant market and is able to offer that product in a fairly straightforward manner: the item will almost certainly sell itself, but the company will experience failure after failure as it grows and tries to take advantage of this opportunity.

FIVE CORE AREAS

A few significant changes have occurred in the understanding of product-market fit over time. The definition and concept of product-market fit can be broken down into five different core areas that come together to make up the concept. These include:

Identifying a value proposition
While growth is good for businesses, you first need to offer your customers value before thinking about growth. Otherwise, your business will come tumbling down since it doesn't have anything to offer.

"Identifying a value proposition" means essentially that you should first determine your value hypothesis (an assumption about what value your product gives customers) before figuring out your growth hypothesis (how potential customers will learn about your product or service).

The growth hypothesis includes coming up with marketing strategies, choosing how much money to spend on advertisements, and determining which keywords to use. It does not make a difference whether you analyze growth based on traffic or sign-ups if you have a good growth hypothesis. If you don't deliver value to your customers, on the other hand, you'll see your churn rates soar, and your conversions fall through completely.

The most challenging part of achieving product-market fit is

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determining what the value proposition of your firm is, which is also the place where you should begin. By doing so, you will be able to determine whether your product is an appropriate fit for the market or not.

Building something you need

Create something that other people want, and begin by figuring out your problems and solving them.

When people design goods that meet their own needs, this is the beginning of a successful product-market fit. Any product that is developed outside of personal necessities is considered to be a sitcom start-up idea. Sitcom start-up problems are fictitious issues for which people think others might be interested in solutions, but in fact, they do not require them or are capable of living without them.

If a solution is tailored to exactly what it is that you need, then it may be possible to find a product-market fit for it.

Having a problem worth solving

From the previous core areas, you should now have the correct solution to a problem that needs to be solved, and the work at hand right now is to figure out who else is having the same trouble that you are experiencing. Finding out that others have the same problems and need solutions is crucial for achieving product-market fit.

The process of establishing whether a product is fit for the audience for whom it was designed does not have to entail mindless roaming; rather, it can be streamlined and structured to require far less time and resources than many product teams expect it to demand.

It can be divided into a series of less demanding substages, each with a specified business model result and deliverable in a period of ninety days. The Leanstack Continuous

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Innovation Framework was developed bearing these characteristics in mind, and the following is a breakdown of how the framework works.

Winning word-of-mouth growth

Before focusing on high growth goals, you should ask yourself a specific question to know if your product is on its way to achieving product-market fit. That question goes something like this: Do you have customers who are so enthusiastic about your product that they advise their friends and family members to give it a try?

Without answering this question, and without your answer being positive, any high growth goal might in fact be unattainable, and even if growth happens, it will be unsustainable. Getting the right answer is necessary, since doing so enables you to build a strategy for long-term growth and a goal for that strategy.

A pull from the market

Even though we may have discussed it before, attaining product-market fit does not always mean that your stock will sell out after restocking. Instead, it should mean that you will have a high demand that you will be nearly unable to meet.

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FINDING PRODUCT MARKET FIT = FOCUSING ON THE MARKET FIRST

Founders often have a tendency to focus excessively on potential remedies while ignoring the issues at hand. The opportunity lies in solving the issue, which is the market itself. Launching a product, speaking with consumers, and iterating are the only ways to identify a product that is a good match for the market. Your first and most original idea about how to address the issue is probably incorrect. The most common manifestation of founding brilliance is making the proper decision on the problem to be solved. Andreessen said it best when he remarked that "the market pulls the product out of the company".

If your buddy was standing next to you and their hair caught fire, the only thing on their mind would be how to save their hair. Putting out the fire would always take priority for them, regardless of whether they were starving, going through a breakup, or running late for a meeting. If you gave them a hose, which is the optimal product or solution, they would put out the fire in a matter of seconds. If you offered them a stone, they would use it and try to put out the fire by hitting their head with it. A user's willingness to try out the first-generation remedy is based on the severity of the issue.

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PRODUCT MARKET VS. GO TO MARKET FIT

Before a company can bring a product to market, they need to ensure that there is a demand for the product. This process is known as "product-market fit". Once a company has identified a market that is willing to buy its product, they need to determine the best way to reach these customers, which is known as go-to-market fit.

The methods used to reach customers can vary depending on the products being sold and the target market. For example, companies selling consumer products may use mass marketing techniques such as advertising, while companies selling business-to-business products may use direct sales or partner with other businesses in their industry. Ultimately, the goal is to find the combination of products and go-to-market strategies that will result in the greatest sales and profit.

The challenge for many startups is achieving product market fit. This is the stage where your product gains traction in the market and becomes a "must have" for your target customer base. However, even if you have achieved product market fit, you still need to make sure that your go-to-market strategy is aligned with your overall business strategy.

Your go-to-market strategy should be designed to reach your target market, generate demand for your product, and close sales. Without a well-aligned go-to-market strategy, you will struggle to achieve long-term success, even if you have hit

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product market fit. Therefore, it's important to make sure that you have both a great product and a great go-to-market strategy before you start scaling your business. In order to achieve a go-to-market fit, you must first achieve product-market fit and then develop an effective go-to-market strategy.

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EXAMPLES OF PRODUCT-MARKET FIT

SPOTIFY: MUSIC FOR EVERYONE

When the music-sharing network Napster was shut down in 2001 owing to charges of copyright infringement, Daniel Ek, Spotify's CEO, noticed that many of the essential pieces for product-market fit were already in place. This insight ultimately led to the development of Spotify.

Napster already had a considerable number of users, mobile devices were ready to distribute the music, and the content was already available. Ek had trust in the possibility that this group of customers would be prepared to pay a small amount in return for a platform that gave lawful access to music. Specifically, he believed that they would be willing to pay for a genuine streaming service.

Although it took some time, technology eventually advanced to the point where Spotify was able to use more advanced online content crawlers and technology that processes natural language. Because of this, Spotify's popularity among the target audience of young people has skyrocketed in recent years. In addition, as of the year 2022, Spotify already has 182 million paying subscribers, which is evidence of the success that can be achieved by identifying a market need and producing a product that is valuable enough to warrant financial investment.

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UBER: THE FREE RIDE

Uber's original approach to establishing product-market fit consisted of offering free rides between a number of regional tech events that were hosted in San Francisco. These events were held simultaneously. The co-founders of Uber were aware of the fact that the taxi system was not only archaic but also prohibitively expensive, and as a consequence, relatively few people used it. When people started using the Uber app more often, the company made the decision to offer first-time users discounts of up to fifty percent off.

The ability of Uber to solve an issue while simultaneously generating demand for its services is praised by professionals in the relevant sector. Even though customers did not indicate a need for enhanced taxi service, consumers progressively began to rely on the idea as a more practical and clear alternative became accessible. The network effect began to take effect, and customers started chatting about their experiences on social networks, which supplied the company with social proof.

NETFLIX

The early years of the 2000s marked the beginning of the company's meteoric rise to prominence in the entertainment media industry. Moviegoers started to become aware that the late fees that were being levied by brick-and-mortar DVD rental businesses were becoming a greater nuisance as time passed. Netflix offered its customers DVDs as part of a membership service, and customers may keep a disc for an indefinite length of time before handing it back to Netflix.

However, if Netflix had persisted in operating as a DVD-by-mail service, the firm would have been wiped out when DVD players were phased out. Netflix, on the other

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hand, has positioned itself as the easier and more cost-effective alternative to whichever product or service is now dominating the market for entertainment. This may be DVDs, traditional television, or brick-and-mortar rental businesses. Netflix ensures that it will continue to be successful in the industry by continuously enhancing its product in response to the changing preferences of consumers.

The accomplishments of Netflix serve as a useful illustration of the need to maintain adaptability in dynamic marketplaces and keep a focus on the long term.

GOOGLE

In its earliest years, Google was up against competition from a broad array of other search engines, each of which was vying for a share of the market. They made money the same way that their other rivals in the sector did, which was by selling advertising space next to the search results. This was the standard practice in their field. But in 2003, when they first introduced a groundbreaking concept that would become known as AdSense, they surpassed the competition and claimed the lead.

When Google executives saw that businesses were willing to pay to have their advertisements shown on pages other than the search results page, they came up with the idea of AdSense. AdSense would analyze the content of web pages using newly developed technology in order to automatically display advertisements that were pertinent to the subject matter of the analyzed web page. If you had a business that sold luggage, for example, you could sign up for AdSense and pay a fee to have your advertisements shown on websites that are geared toward travelers.

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At the close of 2021, Google's AdSense business had more than 12 million users, responsible for generating $209 billion in yearly revenue for the corporation. This is due to the fact that Google was able to satisfy a need that was previously unsatisfied by any other search engine that was available at the time.

You can decide to use Google's AdSense model for the sake of your own company's advertising. If you want to set yourself apart from your competitors, you should look for things that they aren't doing and modify your business model to suit customer needs that aren't currently being met.

SLACK

Slack, a platform for instant messaging that is often used for collaboration in the office, was originally conceived as an entirely different kind of product. Slack was first conceived by its creators as a means of facilitating the team's internal communication while they were engaged in the process of creating a role-playing video game.

The group rapidly realized that, despite the fact that there were a number of other role-playing games that could be purchased, nothing on the market was like Slack. As a consequence of this, they changed their priorities and stopped focusing on the development of video games.

The speed with which Slack was able to turn its situation around illustrates that putting more of your focus on developing a better product-market fit might be beneficial.

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WHY IS IT IMPORTANT?

If you're starting a company, one of the most important things to think about is product-market fit. While product-market fit sounds simple enough, it's actually quite difficult to achieve. There are a lot of factors to consider, such as the size of the market, the competition, and what needs your product is filling. Getting product-market fit right is essential for any business because without it, you're likely to struggle to find customers and generate revenue. Even if you have a great product, if there's no demand for it, then you're not going to be successful. So if you're thinking about starting a company, make sure you spend time considering product-market fit before you launch.

THE IMPORTANCE OF A GOOD MARKET VS. A GOOD PRODUCT

There are several examples of successful businesses that have been built on the foundation of an innovative product and an enthusiastic market, such as Parade, which manufactures environmentally friendly underwear.

The market for underwear is one that will never go away. Plus, it has a wide range of basic problems, such as the fact that many firms do not manufacture underwear in plus sizes, as well as the fact that their packaging and materials are harmful to the environment. Parade has recognized these problems, and it employs its goods to provide solutions to the problems that its clients face. Its underwear is available in

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sizes ranging from XS to 3XL, is constructed from environmentally friendly materials, and is delivered in environmentally friendly packaging.

Finding a market that is appropriate for your product often involves first identifying a market that is sizable and has demand, and then modifying your product in such a way that it satisfies the needs of the targeted market. It makes no difference if you build the best product in the world that solves several issues that customers have; if there isn't a market to support it or if that market is undeveloped, your product will fail.

Because of this, it is very necessary to make use of the market as a means of molding and developing your product. When you listen to the market, you may shape your product to better meet that market. Attend to the feedback of your clients. Deliver your wares to the end user and make an effort to close the deal with them. Gain an understanding of the things that are essential to them and the things that are not important to them. By doing market research to determine what they care about, you can get rid of any aspects of your product that the consumer isn't interested in using.

The founder of Parade saw a significant window of opportunity inside the sector and set out to create a product or service that would satisfy a variety of basic needs. Because of this, Parade has been able to establish lasting relationships with its customers, which has helped the growth of the firm.

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WHAT MAKES PRODUCT-MARKET FIT SO ELUSIVE?

There have been numerous efforts made by new businesses that have not been successful in establishing a product-market fit for their products and services. What was the root of the problem? They did not have adequate knowledge of the people that made up their customer base. They were unable to get close enough to their customers to properly address the needs that they had. They may have had a potentially profitable market in front of them the whole time, but they were unable to see its potential.

We are really lucky to live in an era in which companies have access to a wide variety of tools that enable them to get closer to the consumers that make up the target markets they are aiming for. However, a sizable majority of them do not gather sufficient feedback on how their existing and potential consumers feel, what their demands are at the moment, and what those demands could be in the long term.

There is a disconnect between what companies assume their consumers want and need, and what customers really want. As a result, the demands of such customers are not being satisfied. Most firms struggle to discover a product-market fit because of this.

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WHO IS RESPONSIBLE FOR PRODUCT-MARKET FIT?

In most instances, we think of marketing and product management as being concerned with the concept. The responsibility for achieving this objective falls on the shoulders of each and every person working for the business. All of the organization's departments, such as sales and business development, support, and finance, contribute to the company's success in achieving this goal.

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STEPS TO DEFINE YOUR PRODUCT/MARKET FIT

- What are the objectives of your business? Do you want to see rapid increases in your profits? Do you have aspirations of becoming a quality leader in this industry?
- Which problems and needs do customers in the market segment that you want to serve have?
- Create a product hypothesis by thinking about what kinds of goods might meet those needs and help achieve those objectives.
- Find out what the initial consumers think by inquiring about their reactions to the product. What suggestions for improvements do they have?
- Conduct an analysis of the behavior of the market as well as your customers. Is your product being suggested to others? In what ways does it differentiate itself from your other competitors?

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HOW CAN YOU DETERMINE PRODUCT-MARKET FIT?

It is not a simple task, but it is possible to determine whether your product is a good match for the market. Your first order of business should be to identify a market segment that your product can serve. The next step is to identify a challenge faced by that audience that may be addressed by your solution. After that, you will need to determine what specific value your product offers, and only after that will you be ready to design a minimum viable product (MVP).

The leap of faith that many teams need to take is to release a product before being 100% certain that they've achieved product-market fit. However, there are a few approaches that might speed up the process of finding the right one for you.

TALK TO YOUR CUSTOMERS.

Your present user base is your most valuable asset, regardless of how many people are a part of it. These individuals will serve as representatives of your company and its products, as well as the foundation of the community you want to build in the future.

In addition, if you carry out an NPS survey, you will be able to single out the individuals within your current user base who are most likely to recommend your product or service to others. These folks are more likely to provide feedback about your product that may be taken into consideration and acted

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upon. Having said that, you shouldn't limit your discussions to only your promoters. Your detractors and passive users are also highly significant to the feedback that they supply, since it highlights improvement possibilities or user patterns. Consider using novel channels of communication with your customers, including phone calls, face-to-face interviews, online polls and surveys, and focus groups.

Each of these techniques has the potential to provide you with access to a unique set of information on which to base your work.

MAKE IT EVERY TEAM'S JOB.

Every team in your company, not just the one that works on the product itself, is accountable for the success of the product, and each team must take ownership of this obligation in order for the product to be successful. Compute the strategies that other teams may use to determine product-market fit using the data and resources they have available to them.

- **Human Resources**: Your target demographic may be narrowed down with the use of employer branding personas and strategies, internal brand advocates, and applicant personas;
- **Finance**: Tracking trends in various payment methods may provide you with valuable information about the ways in which your customers like to make payments and the kinds of plans that are most convenient for them. This may lead to the development of price plans and payment methods that are more oriented toward the user;
- **Marketing & Sales**: These teams have access to enormous volumes of data on consumer behavior as

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well as demographic data, which can be utilized to help enhance your strategy and assist you in achieving market fit in a shorter amount of time.

OPEN YOUR ROADMAP TO FEEDBACK.

Excellent product roadmaps don't center on the product itself; rather, they put the customer front and center. You may do this by regularly soliciting input from customers about the present product, obtaining requests for new features, and making enhancements that customers identify as being vital to them.

Because product-market fit refers to the degree to which a product meets the needs of its target audience and the success that consumers may expect to achieve as a direct consequence of using the product, the number of sales doesn't matter if the users aren't getting anything useful out of it.

There are, of course, a few steps that need to be taken before you can achieve product-market fit. The first step is to create a map of your customer's journey from the beginning, all the way from product onboarding and referrals. This map should include the whole customer journey, beginning with the issue that prompted the search and ending with the brand discovery.

When you add in-product feedback opportunities throughout the journey, your customers will become responsible for developing the product for you, which guarantees that your product is a good match for the market that it is supposed to be marketed to.

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TEST MESSAGING AND FEATURES WITH BUDGET.

Because your product and brand are beginning to find their voice online, this strategy is an excellent way to identify whether they are a good match or not. Try varying the tone of your sponsored advertising as well as the text and the features that are promoted. Through the use of advertisements, you may effectively collect data on the level of client interaction across a variety of audience groups.

Obtaining enough data to the point where one might develop a hypothesis would, of course, require a certain amount of financial resources on the part of the researcher. Nevertheless, if you think it would be useful, you should determine your market as well as what people in that market value. It's possible that it will wind up being money wisely spent in the long run.

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HOW TO MEASURE PRODUCT-MARKET FIT?

If you want to assess product/market fit, you need to do research, understand the market via metrics, and utilize tools to measure product/market fit and net promoter score so that you can analyze and improve your product.

STEP ONE: RESEARCH YOUR TARGET CUSTOMERS

First, you should conduct some research before delving into the specifics of the metrics that will define the success of your product. It is essential to have a crystal clear idea of what it is that your target clients desire by monitoring how they respond to rival alternatives already on the market.

By reading articles, user behavior studies, the publications of industry groups, and browsing social media platforms like Facebook and Twitter, it is possible to get a significant amount of information about the market and the preferences of customers. If you want to identify prospective clients on Twitter who could be interested in purchasing your goods, you can try searching for relevant hashtags on Twitter.

The market information that you gather may indicate that there are gaps in the various layers of your product-market fit hierarchy. These gaps might be detrimental to your business. It's conceivable that you've found out that the individuals who

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are most likely to purchase your product don't really have the issues that it's meant to solve. If this is the case, the marketing text that you've written might probably benefit from some adjustments to reflect this information. The findings of this research will, in a short amount of time, reveal the areas of your pyramid that need improvement.

The next thing that you need to do is think about having direct encounters with consumers who are already using your product or with customers who would be the ideal users for the product that you want to build. Involving customers who are in desperate need of your goods in the discussion is probably a smart idea.

Here are a few things to keep in mind as you prepare for the discussion:

- Guide the conversation in a way that, if there are any misalignment in the layers of your pyramid, they will be brought to light;
- Ask your customers if they have a clear understanding of your value proposition, making sure to first ensure that it has been properly outlined;
- You should inquire as to whether they believe the product lives up to its value proposition or not, and if they don't, you should inquire as to what kinds of improvements they would recommend making the product more valuable.
- Inquire about the product's ease of use.

It is necessary to consolidate the feedback received from a considerable number of talks in order to either direct the creation of a new product or influence the product roadmaps for future iterations.

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STEP TWO: UTILIZING METRICS AND TRACKING, DETERMINE WHAT PERCENTAGE OF THE MARKET YOU WILL BE ABLE TO CAPTURE.

Before you can evaluate the product's suitability for the market, you need to have a solid understanding of the market it is intended to serve, together with the specific metrics directly related to its potential income. Even if there is a market for your product, you still need to demonstrate that the demand is substantial enough to justify financial investment.

- Calculating your Total Addressable Market (TAM) and determining how much of the market you can actually penetrate is the first thing you need to do in order to determine whether your product is a good match for the market or not.

  Your TAM should be comprised of users who have needs that are not presently being addressed; these are the clients you wish to attract. However, your capacity to attract those consumers is dependent on the geographical region that you service, which is known as your Service Addressable Market (SAM);

- Your Service Obtainable Market (SOM) is a component of your Service Addressable Market (SAM) and refers to the number of people that you are likely to obtain. There is no one method to reach this amount other than to do your own calculations and research; thus,

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you might consider doing some product math;

- After that, multiply the number of SOM by the average revenue per user (ARPU), and this will give you an estimate of the total projected revenue for your company. After taking into account all of your expenses, you should arrive at an estimate of your potential profit and use that as a guide moving forward.

Having determined your potential revenue, the next step is to examine, with the help of the SaaS rule of 40, whether you are on pace to achieve your revenue objective or not. Once you have done this, you will have your figure for potential revenue. The SaaS rule of 40 is a business tenet that asserts your company's growth rate and profit are inversely connected, and the sum of these two numbers will typically equal 40.

As an example, if your company is growing at a pace of 30% either year over year or month over month, your profit could only be 10% of your total sales. When you increase the price that the consumer is required to pay, your profit will go up, but your growth rate will go down since existing customers and future customers will be put off by the new price point.

But what will happen if the sum of your growth rate and profits is less than forty percent? It is likely that it is time to review your message or to establish whether your target customer or their unmet needs are as broad as you had originally anticipated they would be. If your product has a profit margin that is greater than forty percent, you should be proud of yourself, since it is still managing to expand its market share. Of course, 40 is not the only possible number to employ, and it will vary depending on the product that you are selling as well as the market that it serves.

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STEP THREE: METRICS TO MEASURE PRODUCT-MARKET FIT.

If the sum of growth and earnings for your company is less than forty percent, it's likely that the product you're selling hasn't yet identified its place in the market. In this situation, the Net Promoter Score, more commonly referred to as the NPS, can be useful in verifying. One method for calculating a business's Net Promoter Score is through a survey of a company's existing clientele, in which the respondent is asked the following question: "How likely are you to refer our product to a friend or colleague?".

Quantitative

Net promoter score (NPS)

With the use of this metric, businesses are able to determine whether their customers are likely or not to suggest their brand to family, friends, and coworkers. To determine it, take the proportion of promoters, and deduct it from the percentage of detractors. Customers that are dissatisfied with your service are known as detractors, whereas those who appreciate your brand are known as promoters.

For instance, when organizing a scale of 1-to-10 survey, customers who choose 9 to 10 are considered promoters, while those that choose 1 to 6 are detractors.

LTV/CAC

If you plan to invest a large amount of money in paid acquisitions in the early years of your quest for growth, this metric is one that you should keep an eye on so that you can monitor your progress.

Calculating the ratio between the lifetime value of your customers and the cost of acquiring new customers is

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necessary if you want to ensure that getting new customers will be lucrative for your company.

If you want your product to be successful, and you operate in the software as a service (SaaS) industry, you should aim to attain a sweet spot ratio of 3:1. If, on the other hand, the total amount of money you make from each client is less than the cost of obtaining that customer, you will need to prioritize the retention of customers, change your strategy for customer acquisition, or rethink your pricing strategies in order to maximize profitability. It's possible that you'll need to carry out each of these simultaneously.

Churn Rate
It shows the rate at which a firm's clients quit doing business with it. Customers that do not renew or cancel their subscriptions are referred to as "churn" in this context. The lower your customer churn rate, the greater the number of clients you will keep. In order to assess these metrics, you can send out questionnaires to your previous customers and calculate the average amount of time spent working with each of your customers.

Retention rate
It is used as a measurement tool for determining what percentage of its clientele a company is able to retain after a certain period of time. Because it is far easier to keep an existing client than it is to attract a new one, businesses invest a large amount of money in customer retention efforts. Consumers that buy from a certain brand, again and again, are a good indicator that the brand is successful in fulfilling the needs of those customers.

Make an effort to understand why your clients stick with you and if they have an emotional connection to your goods. If the only reason they remain with you is that you have the best pricing, then they will leave the moment one of your

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competitors launches a new promotion. If your clients are emotionally invested in the product because they like using it, and it has become an integral part of their routine, then you are most likely headed in the correct direction.

Virality
Are your customers committed enough to your brand that they recommend it to their family, friends, and coworkers? The virality of word-of-mouth advertising for your product is a significant component that determines how well it will do in the target market.

Conducting surveys about user referrals, similar to NPS surveys, is a sure way of determining virality.

AARRR a.k.a. Pirate Metrics
The five-step model known as "pirate metrics", which includes acquisition, activation, retention, referral, and revenue, is still highly significant for the growth of a firm.

The number of new clients acquired is, without a doubt, the most accurate indicator of success. At the same time, you need to investigate your in-app stats and check to see whether those who have paid for the app really make use of it or not. The rate of adoption, to put it another way, is the obvious indicator that you have established a solid product-market fit in the market.

Caution is necessary here, since company executives often strive for vanity metrics in the hopes of impressing stakeholders. Even if your client acquisition rates are skyrocketing, this does not always indicate that your product is a suitable fit for the demographic you are trying to reach. To a similar extent, this is also true of activation rates.

Find common ground on which metrics are important for determining whether your product is a good match for the

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market or not. For instance, take the proportion of newly acquired users who subsequently activate their accounts, etc.

Growth rate

Growth rates can be hard to pin down. They vary from company to company, industry, and time period that you look at them in regard to how fast a firm's revenues or earnings are growing over the course of one year compared with another point within its own business cycle. To measure growth rates, you can use a company's earnings, dividends, gross domestic product, and retail sales.

A strong growth rate may help a company in many different ways, including financing investments, acquiring assets, and recruiting new people. In addition to this, it improves a firm's financial performance and earnings, and it also demonstrates that the company has achieved "product-market fit" and has maintained its position for a lengthy period of time.

Market share

A company's market share in an industry may be defined as the percentage of total sales revenue that the company generates for itself alone within that industry. This metric offers a rough indication of how large a company is in comparison to its competitors operating in the same sector as it does. Obtaining an accurate number for the proportion of the market that a certain firm has is not a simple undertaking. As a result of this, you need to review your overall performance over the last few months in contrast to that of your competitors by making use of both your quarterly reports and market research.

Collecting Qualitative Feedback

Early adopters are usually the most enthusiastic advocates of your product, and they are also the most willing to provide feedback and criticism on the many ways in which you may better satisfy their needs.

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You may contact each of your consumers one by one if you are still in the process of confirming your original concept and just have a small number of clients. Just a few phone calls made in the beginning may offer you invaluable information about the needs of your clients and the ways in which your product can be enhanced to deliver a more satisfactory solution.

You may begin sending out customer surveys as soon as you have a larger client base, which will allow you to determine whether you have achieved product-market fit or not.

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PRODUCT-MARKET FIT CANVAS

Product-market fit refers to the degree to which the features of a product (the product) and the needs of its users (the market) are completely matched. This all-encompassing metric takes into account not only the demand that exists in the market for a certain product, but also the requirements and preferences of the target audience. When creating a brand-new product, it is essential to have in mind all of the many characteristics of the customer as well as the market that you are aiming for when using the product market fit canvas.

WHEN TO USE THE PRODUCT/MARKET FIT CANVAS

The product market fit canvas is a tool that can be used at any given moment throughout the course of the growth of your company.

You may, for instance, use it before the launch of your first product or service to aid you in identifying your target audience and your minimum viable product. If you launch a product while it is still in the beta phase, you may use the product market fit canvas at that point to hone your offering and get a deeper understanding of the existing market environment. The product market fit canvas is a great tool that can help you determine what steps need to be taken

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when your company has only just begun, or if they're more established and considering launching new products/services

HOW TO USE A PRODUCT MARKET FIT CANVAS

In its most basic form, the product market fit canvas takes the form of a table with two columns. The consumer or target market is represented in the columns to the left of the table, while your product or service is shown in the columns to the right.

Identify your customers.
To get started, provide the information about your client that is required in the columns located to the left. Take into consideration that you may wish to complete this step before introducing a new product or service. During this stage of the process, you will be expected to provide answers to these questions:

- Who is the typical buyer of your product or service, and what are some of the goals that they have in mind when they do so?
- Why are your customers going to need your product or service in order for them to be successful in reaching their objectives?
- How do customers get their hands on your goods or make use of your services?
- In order to get the most out of your product or service, what does your customer need to do with it?

You can also describe this as identifying the attributes of your clients as well as the work to be done, the challenges and

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wants they have, the channel they utilize, and the user experience they have or should have.

Outline your product information.
Fill out the fields on the right with product or service information. This action will be much more reasonable to take once your product or service has already been introduced to the market. You should respond to the following questions:

- How are customers currently accomplishing their tasks, and what kinds of methods and tools are they utilizing?
- Which components does your product or service require in order to fulfill the requirements of your customers and provide answers to the challenges they face?
- How will this distribution channel benefit from the fact that your product is being offered and sold through it?
- What will you measure to determine whether your customers are receiving actual value from your product or service or not?

You may also describe this as outlining the options available to you, the significant aspects of your product or service, the value that the channel receives, and the key performance indicators/metrics for your business.

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PRODUCT-MARKET FIT GOALS FOR STARTUPS

The primary reason for the failure of many new businesses is that their founders squander money developing things that no one wants to purchase. Because finding the right balance between their product and the needs of their target market is the single most important aim for a startup, it should take precedence over all other objectives.

Make sure you have a good understanding of the problems that are alleviated by your product, as well as the problems that your clients are trying to address. This may be accomplished by concentrating on the six key areas below.

DETERMINE YOUR TARGET CUSTOMER.

Put in the effort to identify your ideal customer, who is a representation of the sort of individual who would benefit the most from utilizing your product, and who best represents your target market. If you use market segments to determine your ideal consumer, you can then develop buyer personas for those consumers so that your team may have a better understanding of who they are working for.

Sean Higgins, an entrepreneur in residence at TechStars, outlines the four steps that make up this process:

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1. Assessing your company's product or service;
2. Getting to know your rivals and what they have to offer;
3. Choosing the appropriate criteria for each customer segment;
4. Carrying out research and analysis.

During the research phase, you will conduct market research utilizing research questions that have been pre-written and then condense your data into understandable insights for the members of your team, management, and board of directors. After that, you will present them with your findings.

GATHER INTELLIGENCE

Have a conversation with your clients to find out what their biggest problems are and what they would be willing to spend to find a solution to those problems. In order to uncover problems that are being voiced repeatedly by customers, you should consult with your sales and marketing staff.

Gather a sizable sample of data that is sufficiently big to offer insightful feedback. Consider the fact that the feedback you get from talking to someone face-to-face will most likely be different from the feedback you get from an online questionnaire.

FOCUS ON A SINGLE VERTICAL

Due to the fact that startups are infamous for having extremely few resources, it is quite improbable that you would be successful in selling your products to all of the

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prospective clients that are interested in purchasing them. Begin with a niche that is very precise, and continue to immerse yourself in that industry until you have mastered it. Establishing oneself as the top expert in your industry within a certain area is one technique to support quick spread and development.

SPECIFY YOUR VALUE PROPOSITION.

Find out which of your customer's demands, your product or service can meet the most effectively. Find a way to surpass your competition and wow your consumers by figuring out how you can do both. When deciding which difficulties you will solve, it is important to keep your product roadmap in mind at all times; not every issue will be able to be accommodated by it.

For instance, the money management app Digit offers a straightforward value proposition that reads, "Stress less about your money". This phrase helps clients understand that the app will assist them in achieving financial stability and independence without requiring them to worry about it.

MEASURE YOUR PRODUCT-MARKET FIT.

You have to take the time to measure your performance if you want to be able to successfully manage your success. Identify the most crucial datasets that will be of assistance to you in the process of performance monitoring. To get started, you have to figure out your total addressable market, which is

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sometimes referred to as TAM. This refers to the entire number of individuals that could potentially be helped by your product or service, i.e., if everyone who could benefit from your product or service began using it.

The total addressable market (TAM) is determined by multiplying the average revenue per user (also known as ARPU) by the total number of possible customers available in the market. Once you know your TAM, the next step is to calculate what proportion of that TAM is your customer base.



Following the conclusion of the TAM analysis, the next step in the product fit process is product validation. You need to guarantee that the product is functional, that it can be used by your target consumer, and that they want to buy it. The product validation process includes activities such as sending out surveys and conducting interviews, as well as sending out questionnaires to consumers and asking them whether they want or need this product.

AVOID COMPLACENCY

Be wary of making the assumption that you will always have product-market fit, even if you are successful in achieving it. Because the requirements of your clients are going to evolve over time, you have to routinely reassess the market circumstances in order to continue satisfying those needs.

The market for internet communication services such as

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Skype is an excellent example of complacency, since users have become used to their present alternatives. In 2020, when people were trying to utilize and share easy-to-use technology because of the unprecedented change that was taking place all over the globe, remote business and learning were at an all-time high.

Zoom was able to swiftly fulfill product-market demand, and as a result, they have a far larger share of the market than Skype, Microsoft Teams, and many other services operating in the same space as they do.

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PRODUCT-MARKET-FIT IS A TWO-WAY STREET

If you are in the process of growing a fledgling business and are in dire need of financial support, you may feel the urge to respond with "yes" and develop new features in the hopes of drawing in additional paying customers. It's important to remember that this isn't always the ideal approach to adopt. If you want to build a company that will be there for the long haul, short-term revenue is not the business statistic that you should be striving for and using to assess yourself. Accept the fact that you will never be able to please everyone, and don't spend your time trying.

Do not begin the development of a feature just because someone has requested that you do so. Do not automatically agree to serve consumers that are not a good match for your company.

You want customers who pay you because they value what you do. Anything else will steer you away from where you ultimately want to go with your business. You want to have clients that pay you because they like what you are doing, and that is why they are paying you. Product market fit works both ways; don't just welcome everyone who comes through your door; instead, learn to respectfully refuse business from prospective customers if they don't share your values and vision for the future.

As your company grows, you could find that an increasing number of customers approach you with ideas for new

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features or services. Before you get too far ahead of yourself and begin the process of building a go-to-market strategy, you should first determine whether this can really be supported by your roadmap or not. After that, arrange them in descending order of significance according to the impact (the number of people it will influence) and the amount of work that will be required to make them ready for your customers.

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COMMON MISCONCEPTIONS ABOUT PRODUCT-MARKET FIT

1. **Finding the right balance between your product and the market is invariably a single, decisive step.** Some firms are so lucky that on their very first attempt, they are able to find the perfect balance between their product and the needs of their target market. Most don't. They instead engage in a lot of trial and error, which entails experimenting with a number of different concepts, determining whether those ideas are practical or not, learning from both their successes and failures and ultimately moving their attention to an idea that is more robust.

   In order to identify a version of a product that is suited for a certain market, it could be necessary to go through a lot of product iterations that are spaced out across a considerable amount of time. For instance, both kaChing and Wealthfront seem to be entirely different kinds of goods. However, the founders of the company never strayed from their original mission, which was to reduce barriers to entry into the world of investment. The firm adjusted its emphasis after they recognized a chance to achieve that objective much more rapidly by becoming the product that their customers needed;

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2. **When you have successfully achieved product-market fit, it will be immediately apparent.**
   It is not an "either/or" proposition to meet the requirement of having a strong product-market fit. As a result of this, it is difficult for many of the company's founders to have self-assured confidence that they have reached their objective. For example, there may be several submarkets within the market that you have picked, and each of these submarkets may have a unique set of problems that need to be addressed and wants that need to be satisfied. If this is the case, then you will need to tailor your approach to each of these submarkets.

   Also, certain key performance indicators (KPIs) of a firm demonstrate that the product is a good fit for the market, while other metrics might indicate that the company isn't practical;

3. **It is impossible to lose product-market fit once it has been attained.**
   The achievement of product-market fit is in no way the completion of the journey. It is not a question that you can answer "yes" to and then put out of your mind forever. Both the requirements of the market and the approaches taken by rivals are always shifting and developing. Your product must constantly adapt to the shifting demands of the market in order for you to see any level of success;

4. **You don't need to worry about the competition once you've established that your product is suitable for the market.**
   Because they have the greatest possibilities for expansion, robust markets will perpetually draw the attention of robust rivals. When you've identified a value proposition that strikes a chord with your target

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audience, you can be certain that your rivals are already hard at work developing their own, more compelling value hypothesis—or, in some circumstances, openly replicating your product.

For instance, Wealthfront is not even close to being the only automated investing platform now available on the market. Over the course of the last several years, a number of formidable new rivals have emerged. Wealthfront has done a shrewd job of dealing with the competition by concentrating their product on the requirements of their core market, which consists of passive investors who have relatively small accounts and less complex financial lives, as opposed to making an attempt to cater to the requirements of all potential users.

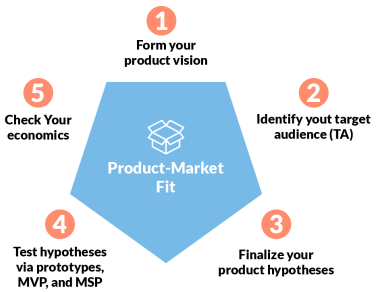
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HOW TO ESTABLISH A GOOD PRODUCT-MARKET FIT

In order to establish a good product-market fit, you need to make sure that your product is appealing to your target market. This can be accomplished by conducting market research and developing a product that meets the needs and wants of your target consumers. Once you have a product that you think will be successful, you need to test it out in the marketplace and gather feedback from customers. This feedback can help you fine-tune your product and make sure that it is meeting the needs of your target market. If you are able to establish a good product-market fit, you will be well on your way to success in the marketplace.

Outlined below are steps to take towards product-market fit.

SIX STAGES TO FIND PRODUCT-MARKETFIT



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DETERMINE YOUR ICP.

Identify the traits of the perfect client for your business. Who do you want to target, and what other kinds of personas are you anticipating running into when working with this ICP (Ideal Customer Profile)?

This is an excellent phase that should be completed with the whole company as well as by teams in order to integrate their data sources and insights.

RESEARCH UNDERSERVED CUSTOMER NEEDS.

In this phase, the primary emphasis is on the landscape of your competitors. What are the products that your clients are now using? When did they make their decision?

Find out if your ICPs are transitioning from using outdated processes to your SaaS solution, or whether they are perhaps moving from a competitor model that isn't totally pleasing them. If the latter is the case, you need to investigate the reasons behind their decision to switch. Discover which of their needs are presently being underserved, and you'll have a significant advantage over the other businesses in the same industry.

DEFINE YOUR VALUE PROPOSITION.

This is your compelling value proposition, your 30-second commercial. You are aware of the needs that must be fulfilled, and you must now take steps to fulfill them.

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Determine how the physical build of your product may best serve the needs of your customers, and then work out how you will convey this information to those customers.

LOCKDOWN YOUR MINIMUM VIABLE PRODUCT (MVP)

Because of its importance, this fundamental idea is a part of every product planning process. It is quite usual for product teams to spend years prior to the launch of a product striving to zero in on a product feature that, in the end, customers brush off as not being worthwhile. It is necessary for you to go to the market as fast as you possibly can. Furthermore, it is not the time to make sure that your product is faultless in every way.

People will be ready to use a lesser quality version of your product if it is the proper fit for them and solves a problem that they are currently dealing with. You should first determine which features of your minimum viable product are the most critical, and then you can start working on them.

BUILD PROTOTYPES.

It is vital that you test the prototypes that you build; it does not make a difference whether you are creating low-fidelity or high-fidelity prototypes at this point.

- How should the finished product look and feel to the customer?
- In order to ensure that all of the work you've done up to this point is successful, which principles of user interface and user experience should you incorporate?

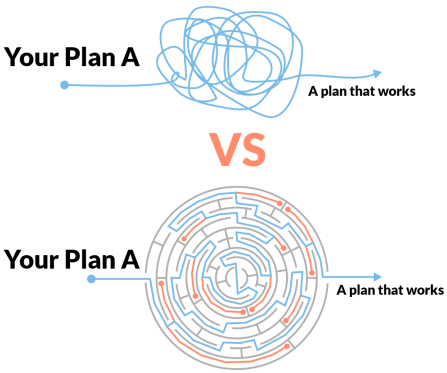
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Make sure that your high-fidelity prototypes can be integrated with the other tools that are in your arsenal, and send your prototypes to other teams to gather the feedback that they have to offer.

TEST YOUR MVP WITH CUSTOMERS.

You have finished all that has to be done in order to enter the market. The time has come to launch your minimal viable product and collect suggestions and feedback from customers. You should learn from the experiences of your consumers by running the tests that are mentioned in this super guide, using feedback polls and NPS surveys, as well as anything else that comes to mind, and you should continue to improve your product so that it better fulfills their needs.

It's probable that some elements of your product-market fit pyramid need to be tweaked, and the higher points could be in need of some improvement as well. You need to be ready to start completely over and go back to the basics of whatever it is that you are doing. If you are able to quickly and effectively enhance and reproduce your product, as well as get it back into the hands of clients who need it, then everything will be OK.



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HOW CAN YOU TELL WHEN YOU'VE ACHIEVED PRODUCT-MARKET FIT?

It may seem unbelievable when the product in question is successfully matched with the appropriate market. There are other scenarios in which the bond is not as obvious. It may be very evident when you have found product-market fit in a consumer application that is dependent on viral marketing; growth rates may skyrocket, and you may have a smash hit in a relatively short period of time. It's, however, likely that certain parts of the process will take much longer than others.

If you run an enterprise SaaS company with a sales cycle that is longer than six months, it will take you more time to see the results of your efforts materialize into tangible benefits. This process has been referred to as "the long, slow, SaaS grind" by General Partner at Earnest Capital, Tyler Tringas. How do we determine whether we are moving in the right direction or not, if there isn't always an obvious match between the product and the market?

In the case of the software as a service application, it may be the realization that you are receiving new customers by word of mouth, or that churn rates are exceptionally low. Alternatively, it may be both of these things. A minimum viable product that has been received with an astonishingly positive welcome might be a sign of potential product market fit in other instances. There are a number of facets that you

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need to keep an eye out for, despite the fact that it's probable that matching the correct product with the ideal market is more of an art than a science.

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CONCLUSION

In conclusion, product-market fit is essential for any business looking to be successful. It is the process of ensuring that your product meets the needs of your target market, and that your target market actually has a need for your product. There are a few key things to keep in mind when trying to achieve product-market fit:

First, you need to have a clear understanding of your target market and what they want/need. Second, you need to make sure that your product is able to meet those needs. And third, you need to ensure that you have the necessary marketing and sales channels in place to reach your target market. By keeping all of these factors in mind, you can give your business the best possible chance of achieving product-market fit and becoming successful.

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